

Gold's time-varying sensitivity to the dollar and real yields, with trend performance compared across volatility regimes.

Gold Research Note

Factor Exposure, Regime Behavior, and Signal Review

Primary Asset: GLD
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Factor Exposure, Regime Behavior, and Signal Review

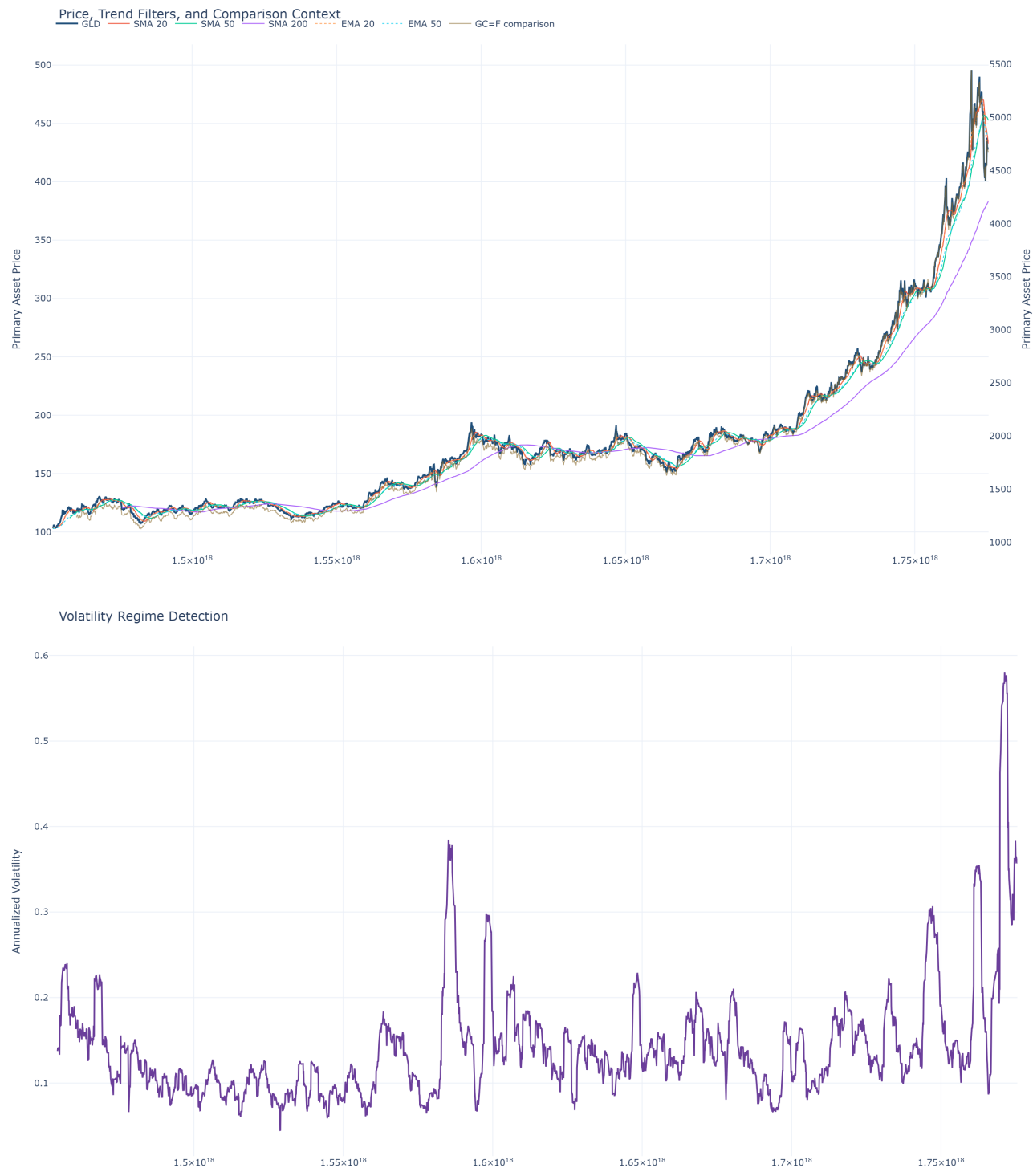
Generated on 2026-04-07 14:03:35

Research Objective

Gold's time-varying sensitivity to the dollar and real yields, with trend performance compared across volatility regimes.

GLD closed near 427.65 with the dual moving-average filter currently reading 1. The 21-day realized volatility is 35.74%, placing the asset in a high volatility regime.

Market Context



Factor Exposure

The latest 63-day Pearson correlation between GLD returns and DXY is -0.368, while the correlation with real-yield changes is -0.619. The regression beta on DXY is -0.855 and the beta on real yields is -5.314, with R-squared 0.251.



Term	Coefficient	t-stat	p-value
const	0.000	2.824	0.005
dxy_log_return	-0.855	-19.447	0.000
real_yield_change	-5.314	-13.953	0.000

Signal and Strategy Review

The walk-forward trend strategy delivered an annualized return of 10.75%, a Sharpe ratio of 0.822, and a maximum drawdown of -19.21%. Monthly hit rate was 38.71%.



Metric	Value	Comment
Annualized Return (Net)	10.75%	Walk-forward, after transaction costs
Annualized Return (Gross)	10.85%	Before transaction costs
Sharpe Ratio (Net)	0.822	Daily returns annualized
Maximum Drawdown (Net)	-19.21%	Peak-to-trough decline
Monthly Hit Rate	38.71%	Share of positive months

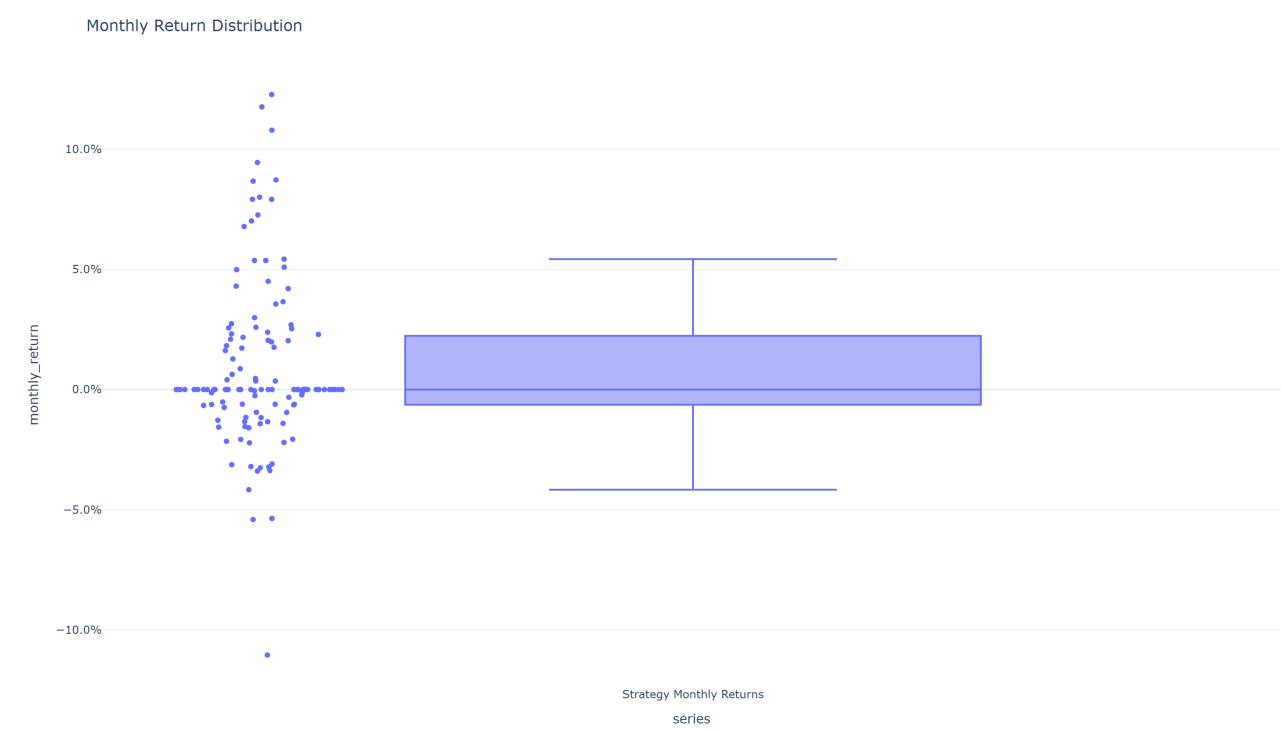
Risk and Limitations

The report evaluates one primary gold-linked asset at a time, so conclusions are not a diversification claim. Dual moving-average signals are deliberately simple and should be interpreted as baseline filters rather than proprietary alpha. Monthly CPI is mapped into the daily panel using a release-lag convention, but revised macro history can still make ex-post analysis cleaner than real-time conditions. Transaction costs are modeled with a simple basis-point assumption; slippage, taxes, and market impact are still omitted. The LLM layer is descriptive only and is constrained to statistics generated by the analytical modules.

This narrative is template-generated because no Anthropic API key was supplied. It only summarizes observed statistics and should not be treated as a forecast.

Appendix

Item	Detail
Research Question	Gold's time-varying sensitivity to the dollar and real yields, with trend performance compared a
Primary Asset	GLD
As-of Macro Handling	Monthly CPI mapped into daily panel using release-lag availability, not naive forward-fill from c
Transaction Costs	5.0 bps per unit turnover



Distribution and Robustness

